Financial Institutions and System

Week 10: Financial Crises in Advanced and Emerging Market Economies

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Agenda

1. Financial Crises in Advanced & Emerging Market Economies

2. Class Activity

1. Financial Crises in Advanced & Emerging Market Economies

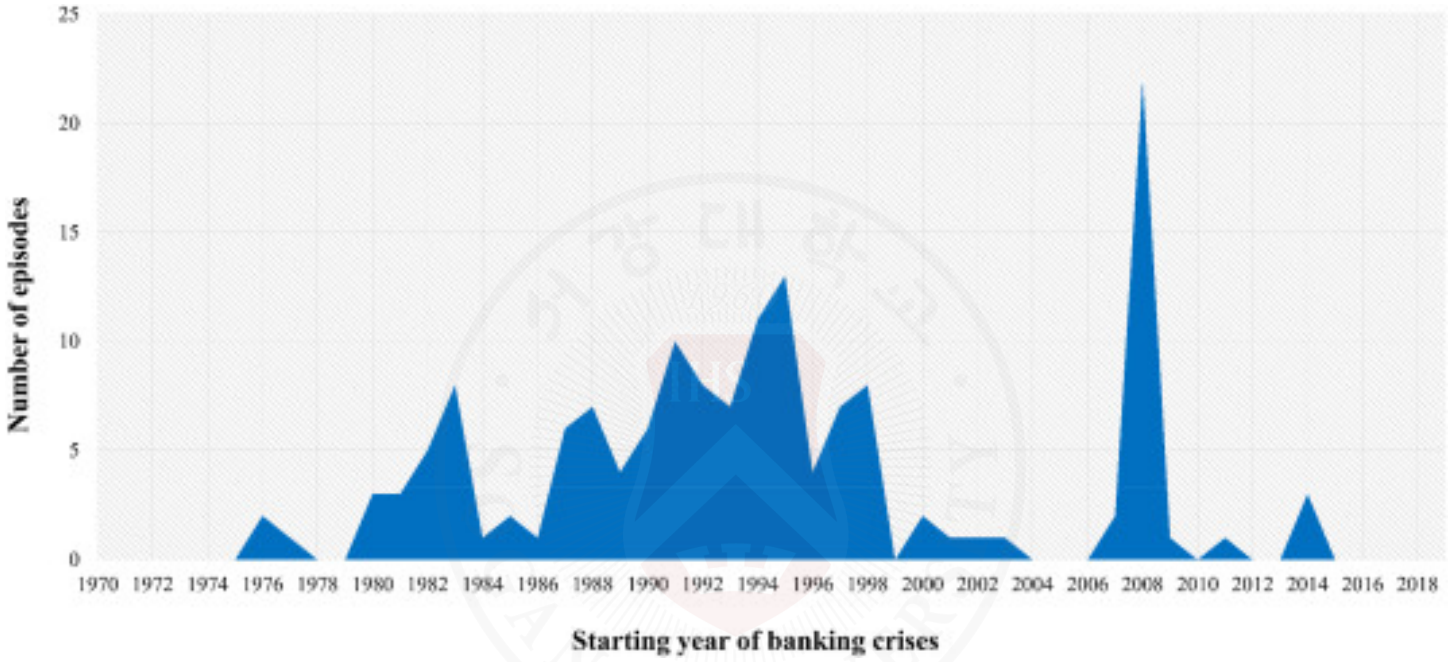
What Is a Financial Crisis?

- A **financial crisis** occurs when there is a large disruption to information flows in financial markets.
- As a result, financial frictions (asymmetric information problems) increase sharply, leading to a breakdown in the efficient allocation of capital.
- This can result in a **sharp decline in asset prices**, a **collapse of financial institutions**, and a **severe contraction in economic activity**.
- Financial crises can be triggered by various factors, including **macroeconomic shocks**, **financial innovations**, and **regulatory failures**.

Types of Financial Crises

- **Banking Crises**: Failures of financial institutions due to insolvency or liquidity issues.
  - Example: 2007-2009 Global Financial Crisis
- **Currency Crises**: Sudden devaluation of a country's currency, often due to loss of confidence in its value.
  - Example: 1997 Asian Financial Crisis
- **Sovereign Debt Crises**: Governments defaulting on their debt obligations, leading to loss of access to international capital markets.
  - Example: 2010 European Sovereign Debt Crisis
- **Stock Market Crashes**: Sudden and severe declines in stock prices, often driven by panic selling or loss of investor confidence.
  - Example: 1929 Great Depression Crash

Timeline of Banking Crises



- Significant surge in banking crises during late 1980s–1990s and again in 2007–2009.
- Major cluster in 2008 reflects the Global Financial Crisis.

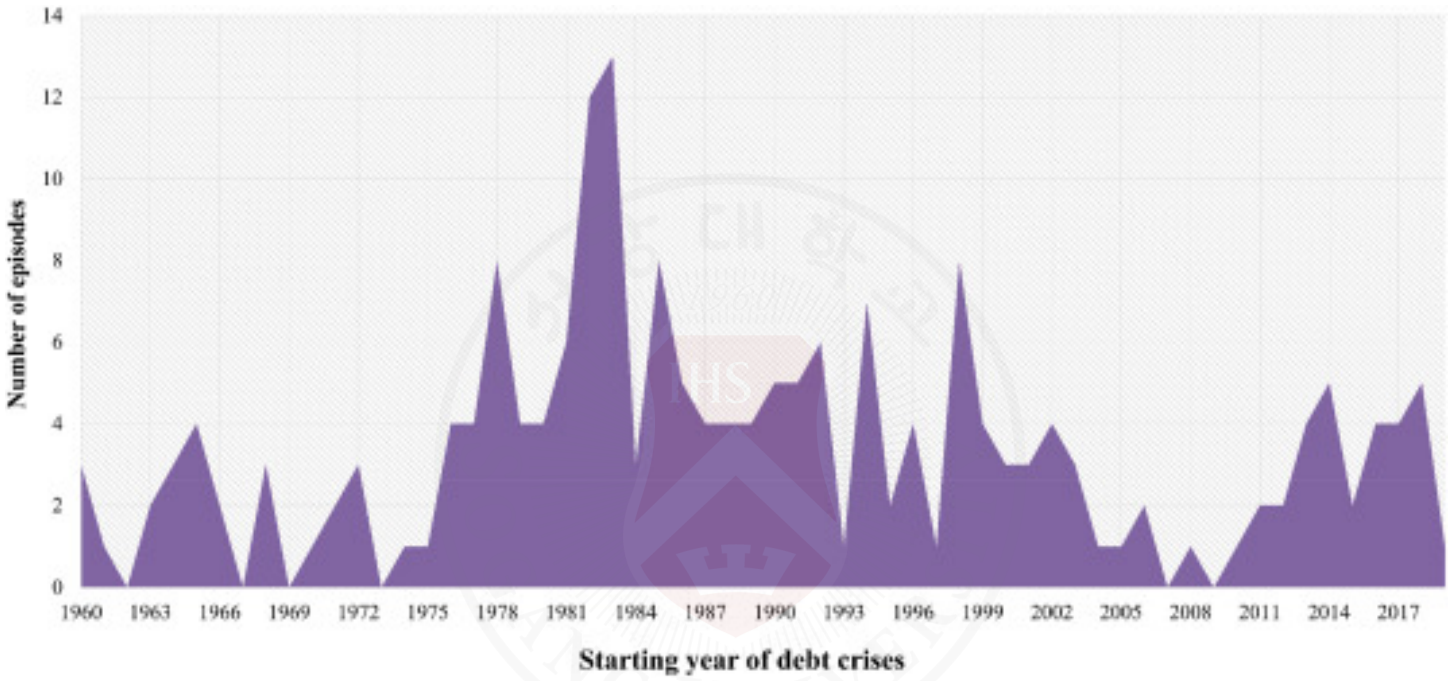
Source: Nguyen, T. C., Castro, V., & Wood, J. (2022). *Economic Modelling*, 108.

Timeline of Currency Crises

- Currency crises were frequent in the 1980s–1990s.
- Peaks coincide with emerging market volatility and global shifts.

Source: Nguyen, T. C., Castro, V., & Wood, J. (2022). *Economic Modelling*, 108.

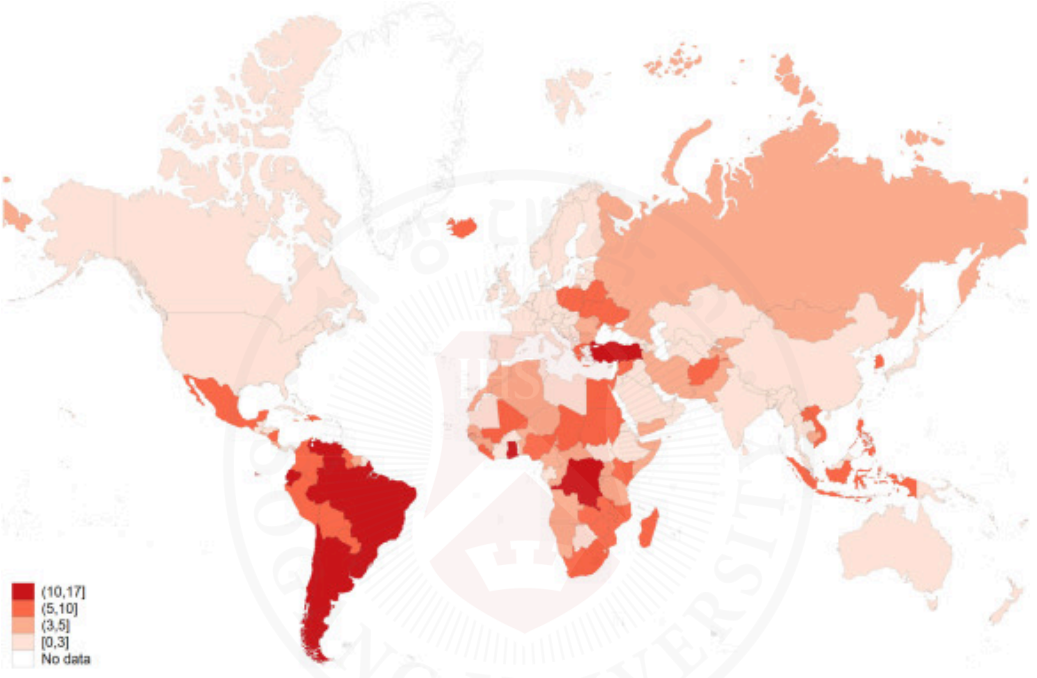
Timeline of Debt Crises



- Most pronounced during early 1980s Latin American debt crisis.
- Post-2010 uptick linked to sovereign debt risks in Europe and others.

Source: Nguyen, T. C., Castro, V., & Wood, J. (2022). *Economic Modelling*, 108.

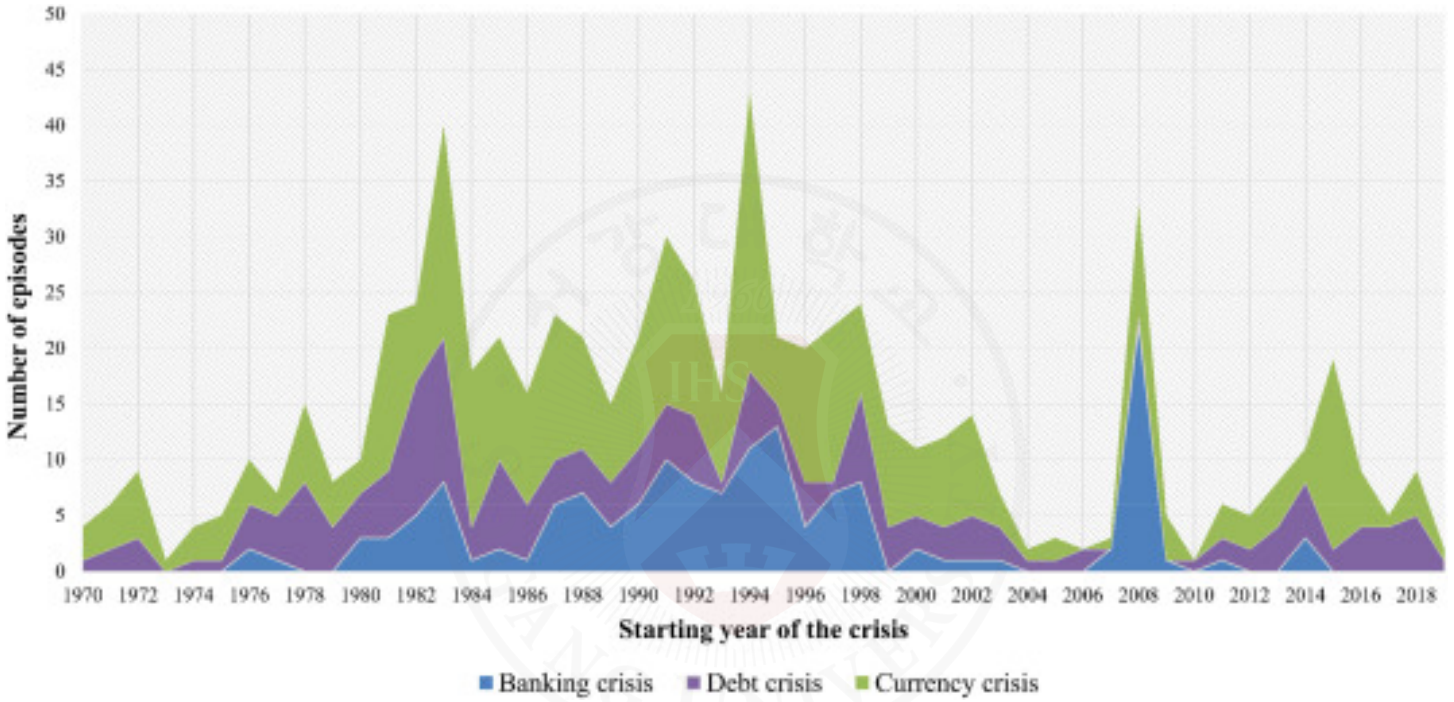
Geographic Distribution of Crisis Episodes



- Most affected regions: Latin America, Sub-Saharan Africa, parts of Asia.
- Developed economies experience fewer but often more globally impactful crises.

Source: Nguyen, T. C., Castro, V., & Wood, J. (2022). *Economic Modelling*, 108.

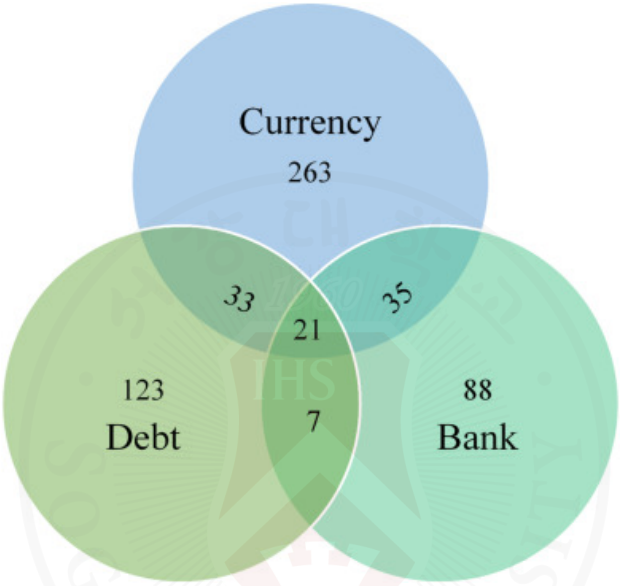
Combined Crisis Timeline



- Shows overlapping banking, debt, and currency crises.
- Clusters around early 1980s, late 1990s, and 2008.

Source: Nguyen, T. C., Castro, V., & Wood, J. (2022). *Economic Modelling*, 108.

Crisis Type Intersections



- Currency crises are most common and overlap significantly with banking and debt crises.
- 7 cases involved all three types simultaneously.

Source: Nguyen, T. C., Castro, V., & Wood, J. (2022). *Economic Modelling*, 108.

Recent Trends in Financial Crises

Crisis risk has **shifted rather than disappeared** — key vulnerabilities include:

- **2023 U.S. regional bank failures** (SVB, Signature): rapid deposit runs amplified by social media
- **Nonbank financial intermediation** (shadow banking): growing systemic importance with less oversight
- **Rising sovereign debt**: fiscal space narrowed post-COVID, limiting crisis buffers
- **Elevated asset valuations**: equity and real estate prices remain stretched in many economies
- **Crypto volatility**: FTX collapse (2022) illustrated contagion risk from unregulated markets

Source: FSB Annual Report (2025)

Dynamics of Financial Crises

Stage One: Initiation of a Financial Crisis

- **Credit Boom and Bust**:
  - Financial innovation or liberalization often precedes crises.
  - Initially promotes development but leads to **credit booms**.
  - Excessive risk-taking due to lack of proper screening/monitoring.
  - When loans fail → **capital falls** → **deleveraging** → credit freeze.
  - Investment declines → economic activity contracts.

Credit Boom and Deleveraging (continued)

- Losses on loans reduce FI capital → cut lending.
- Depositors and short-term creditors withdraw funds.
- Asymmetric information problems worsen.
- Productive investment dries up → downturn begins.

Dynamics of Financial Crises (continued)

Asset-Price Boom and Bust

- Prices rise above levels justified by fundamentals because of leverage, compressed risk premia, optimistic expectations, and sometimes sentiment. → **bubble**.
- Often fueled by credit booms.
- Bursting of bubble:
  - Net worth & collateral ↓
  - Moral hazard ↑
  - Lending tightens → deleveraging → recession deepens

Increase in Uncertainty

- Triggered by: recessions, stock crashes, major bank failures.
- Uncertainty limits flow of credit → weakens economic activity.

Dynamics of Financial Crises (continued)

Stage Two: Banking Crisis

- Poor loan performance & tougher conditions → insolvency.
- **Bank panic**: contagion from asymmetric info.
- Depositors can't assess bank quality → mass withdrawals.
- Fire sales → asset values collapse → more insolvencies.
- Creditworthiness info vanishes → severe adverse selection.
- Lending halts → productive firms fail.
- Authorities intervene through resolution, recapitalization, guarantees, or liquidity support.
- Recovery depends on how quickly balance sheets and confidence are restored.

Dynamics of Financial Crises (continued)

Stage Three: Debt Deflation

- If prices fall sharply → **debt deflation** begins, following Fisher:
  - Real value of liabilities ↑ but assets do not.
  - Net worth ↓ → adverse selection/moral hazard ↑
  - Lending declines → deep, prolonged recession

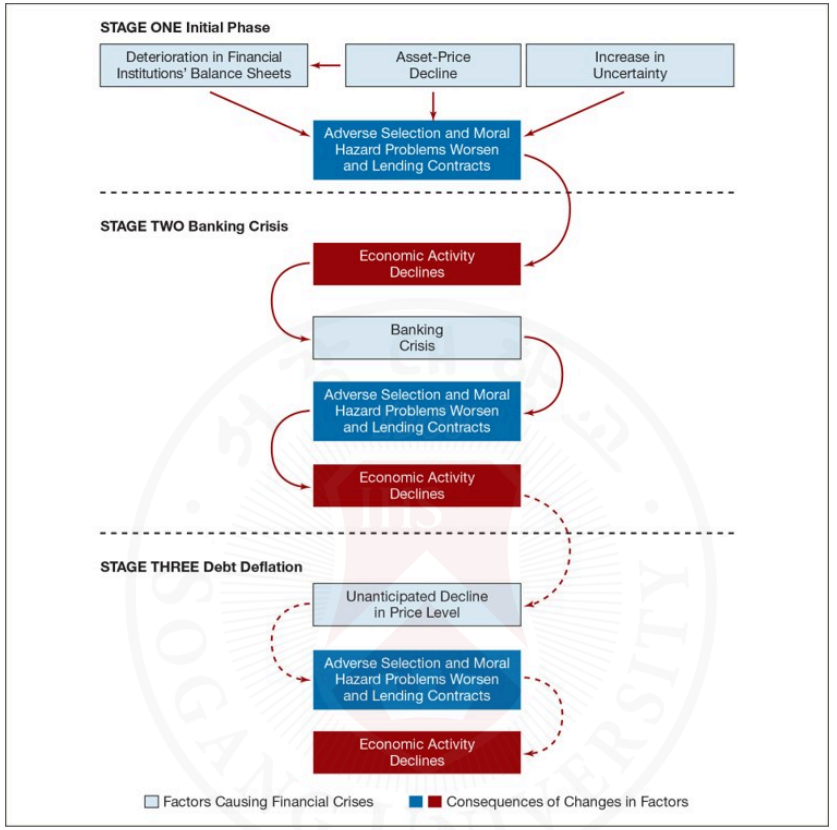


Figure: Sequence of events in financial crises
Source: Mishkin (2022)

The Great Depression: A Historical Example

- **Stock market crash**:
  - Speculation led Fed to tighten policy in 1928–29.
  - Crash followed in Oct 1929 (↓40%).
- **Global contagion** → global asset price declines.
- **Bank failures**:
  - Bank failures were amplified by loan losses, deflation, asset-price collapse, and deposit runs.
  - Major panics: US (1930–33), Germany, Austria, Italy.
- **Debt deflation**:
  - Collapse in lending & spending.
  - Germany: 25% unemployment in 1932.

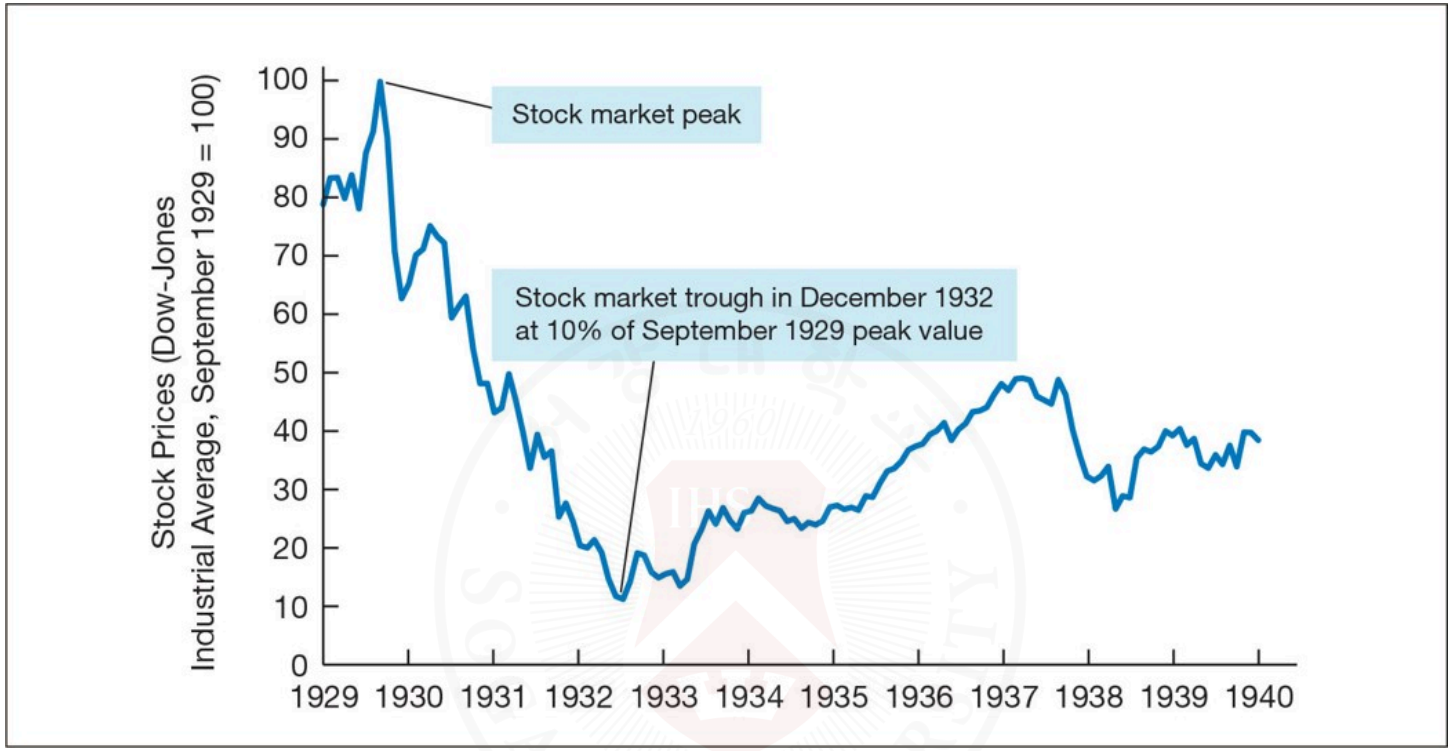


Figure: Stock Prices During the Great Depression

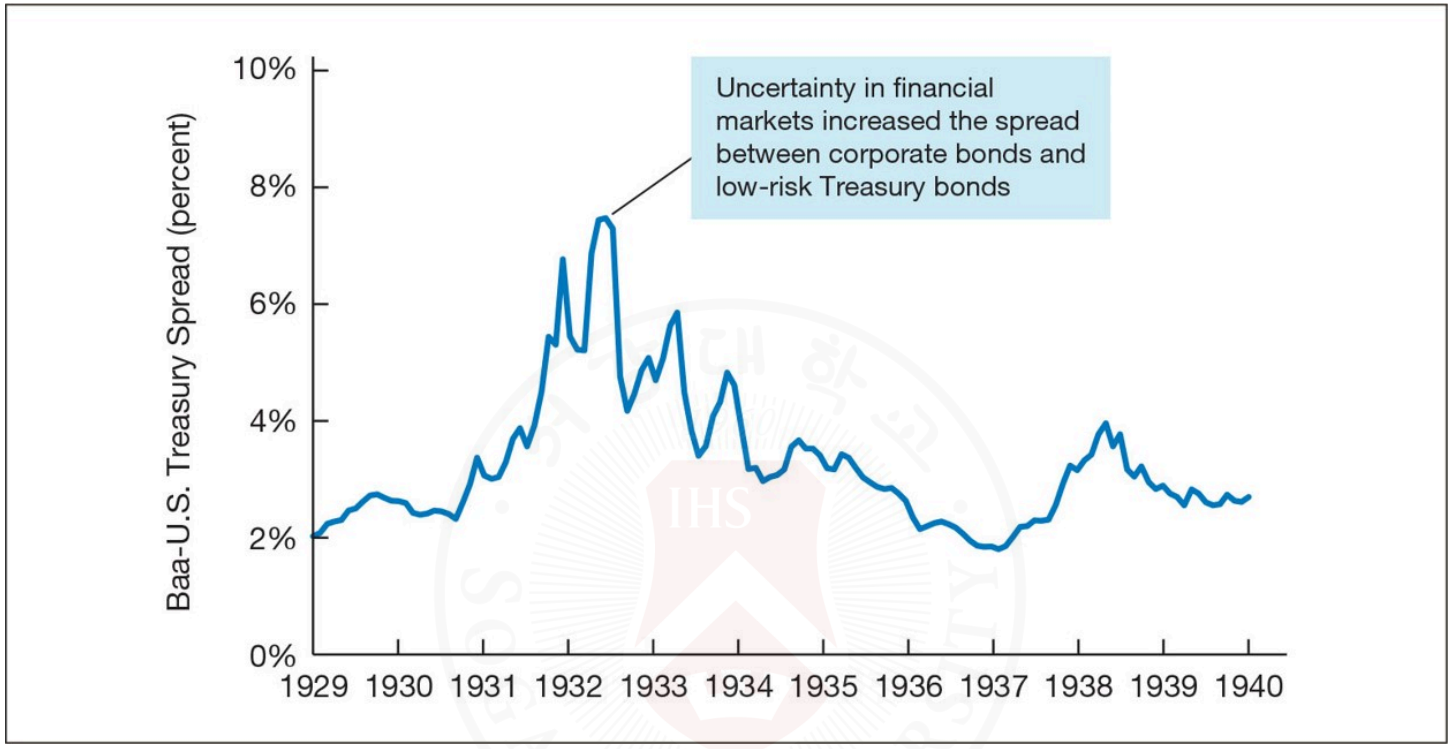


Figure: Credit Spreads During the Great Depression

The Global Financial Crisis (2007–2009)

Causes:

- **Subprime mortgage securitization** via SPVs, MBS, CDOs.
- Tranches created structured risk.
- Investors poorly understood actual risk exposure.
- Short-term wholesale funding made many institutions vulnerable to sudden runs.

CDO Tranches:

- Super Senior: Paid first, lowest risk
- Senior: Moderate risk
- Mezzanine: Higher yield/risk
- Equity: First to lose when defaults occur

Problem: As complexity $\uparrow$, transparency $\downarrow$ $\rightarrow$ asymmetric info $\uparrow$

The Global Financial Crisis (2007–2009) (continued)

Agency Problems:

- Mortgage brokers & banks passed off risk quickly.
- Misaligned incentives: principal-agent issue.
- Adverse selection worsened as lenders increasingly originated and distributed loans without fully screening borrower quality.

Credit-Rating Agencies:

- Rated and advised on same products.
- Inflated ratings enabled risky securities to proliferate.

The Global Financial Crisis (2007–2009)

Housing Bubble and Collapse

- Easy credit + low rates → housing demand ↑
- Prices soared → standards dropped
- Bubble burst → defaults ↑
- Subprime MBS collapsed in value

Balance Sheet Deterioration

- FI net worth ↓ → deleveraging
- Credit supply shrinks → activity contracts

Shadow Banking Crisis

- Fire sales and rising haircuts
- Asset values ↓ → liquidity scramble → more deleveraging

Failures of Major Institutions

- Bear Stearns, Lehman Brothers, Merrill Lynch
- Fannie Mae & Freddie Mac rescued
- AIG bailed out by Fed

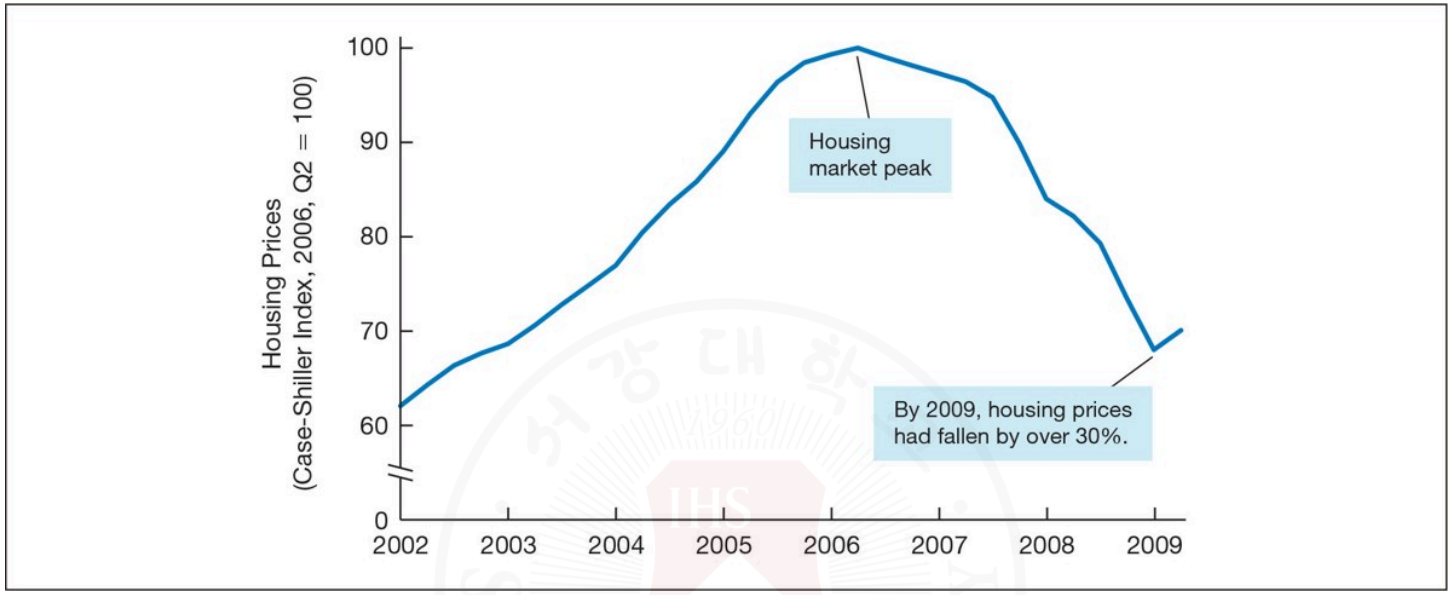


Figure: Housing Prices and the Crisis

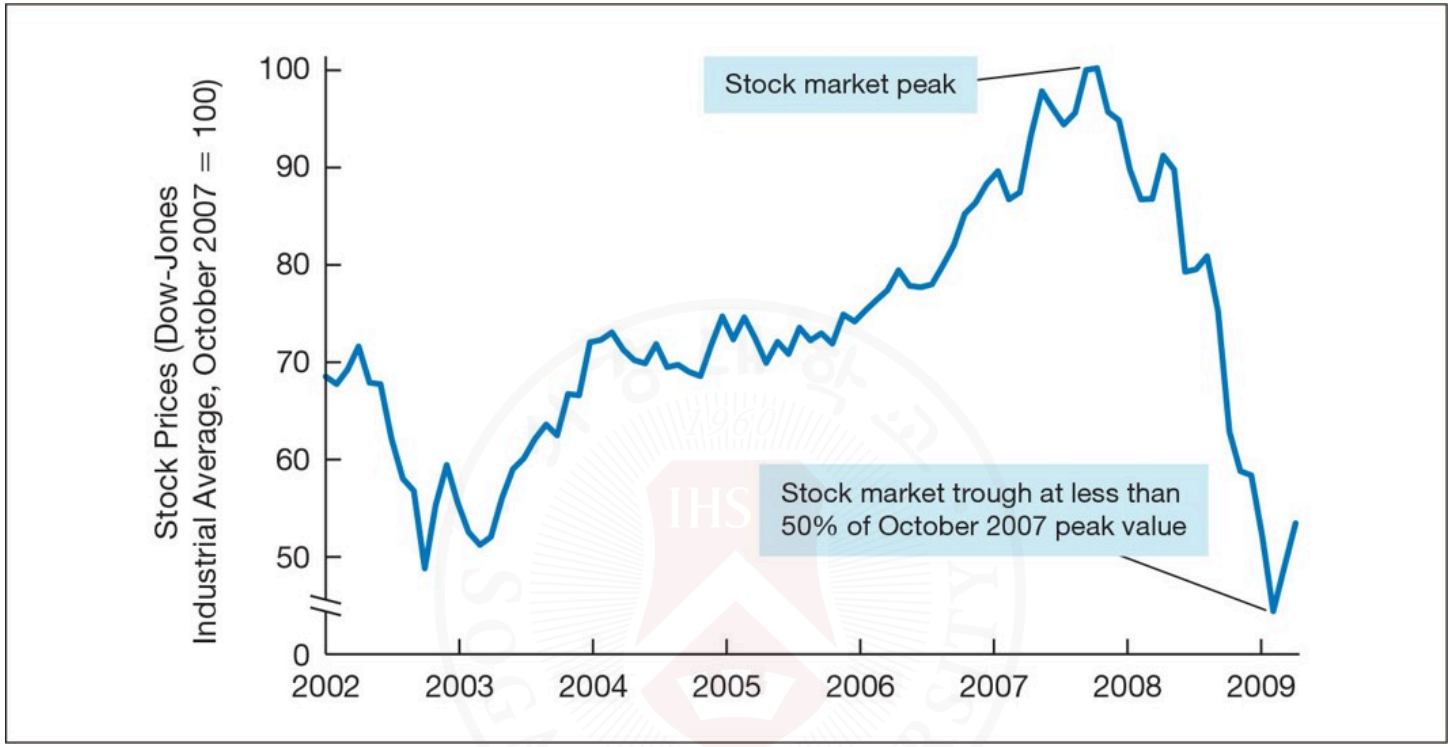


Figure: Stock Prices Collapse

The Global Financial Crisis (2007–2009)

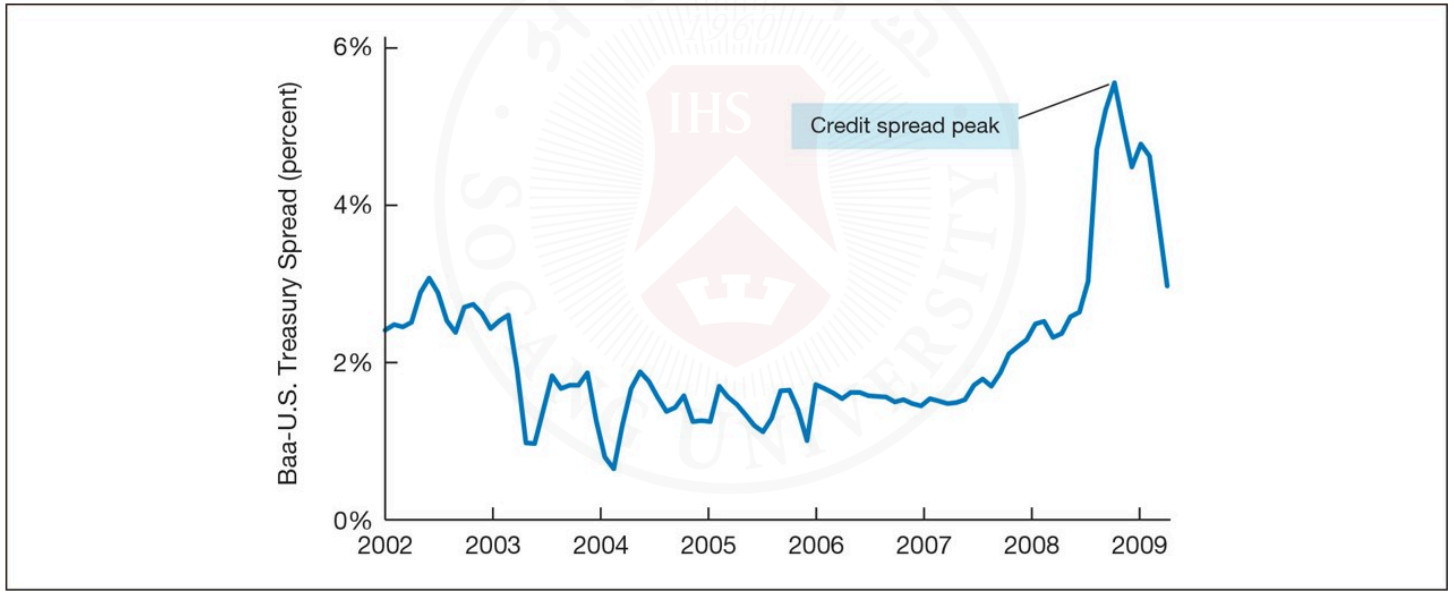
Peak of the Crisis

- 2008: Bailout rejected then passed
- Equity markets recorded extreme losses and volatility
- Baa–Treasury spreads ↑ to >5.5%

The Global Financial Crisis (2007–2009)

Economic Impact

- Borrowing cost ↑ → investment & consumption ↓
- Unemployment rose above 10% in 2009 → **Great Recession**



The Global Financial Crisis (2007–2009)

Government Response

- **Short-term**: aggressive monetary easing, emergency liquidity facilities, guarantees, recapitalizations, and fiscal stimulus.
- **Result**: less severe than the Great Depression

Long-term Global Reforms

- Global coordination essential
- Macroprudential oversight added
- National & international reforms promoted:
  - Legal frameworks
  - Risk-based supervision
  - Financial consumer protection

Macro- vs Microprudential Regulation

- Micro: focus on individual FI risk
- Macro: focus on systemic risk
- Before 2007 → emphasis on micro only
- Post-crisis → macro became essential

> Post-2008 reforms improved capital and liquidity, but the 2023 U.S. regional bank failures showed that interest-rate risk, uninsured deposits, and confidence effects can still trigger acute stress

The Global Financial Crisis (2007–2009)

International Coordination

- Voluntary cooperation often insufficient
- Creation of **Financial Stability Board (FSB)**:
  - to improve coordination, information sharing, and implementation of international standards

Debate: Was the Fed to Blame?

- Taylor: Low Fed funds rate → low mortgages → bubble
- Bernanke: Blamed lax standards, new products, global inflows
- **Debate remains unresolved.**

European Sovereign Debt Crisis

- Post-2009 deficits → rising yields
- Crisis spread from Greece to Ireland, Portugal, Spain, and pressure on Italy
- Eurozone sustainability questioned

Could COVID Have Triggered a Crisis?

- In 2020, all typical crisis triggers appeared:
  - Crash, uncertainty, unemployment spike
- Policymakers responded with extraordinary monetary, fiscal, and liquidity support, which prevented a full financial crisis despite extreme market stress

Dynamics of Financial Crisis in Emerging Market Economies

- The dynamics of financial crises in emerging market economies (EMEs) resemble those in advanced economies, with key differences.
- **Stage One: Initial Phase**
  - **Path A**: Mismanagement of financial liberalization and globalization → credit boom and bust
  - Seen in Mexico (1994) and many East Asian countries (1997)
  - Financial globalization makes EMEs more vulnerable to shocks due to less developed systems

Dynamics of Financial Crisis in Emerging Market Economies (continued)

Path A (cont'd): Credit Boom and Bust

- EMEs may begin with solid fiscal policy (e.g., Mexico, East Asia)
- Weak screening/monitoring of borrowers and loose supervision of banks
- Risky lending practices create massive future losses
- Financial globalization allows domestic banks to borrow abroad
  - High domestic returns, fixed exchange rates, and liberalized capital inflows can attract foreign borrowing
  - Often fixed exchange rates attract even more capital
- End of the Lending Boom
  - Risky lending → major losses → weak bank balance sheets
  - In EMEs, shallower domestic capital markets reduce resilience and increase reliance on banks and foreign funding
  - Fewer alternatives exist to resolve information problems compared to advanced economies
- Principal-Agent Problem
  - Regulation is weak due to powerful domestic business interests
  - Supervisors may act in business interests, not public interest
  - Political ties → weakened oversight

Dynamics of Financial Crisis in Emerging Market Economies (continued)

Path B: Severe Fiscal Imbalances

- Inappropriate financing of government spending (e.g., Argentina, Russia)
- Governments pressure banks to hold public debt
- Loss of confidence → fall in bond prices → banking losses
- May trigger bank panic and worsen asymmetric info problems _ Banks holding large volumes of domestic sovereign debt can transmit fiscal stress directly into the banking system

Additional Triggers

- Rising global interest rates
- Falling asset prices
- Political instability or recession
- Collapse of large firms

Dynamics of Financial Crisis in Emerging Market Economies (continued)

Stage Two: Currency Crisis

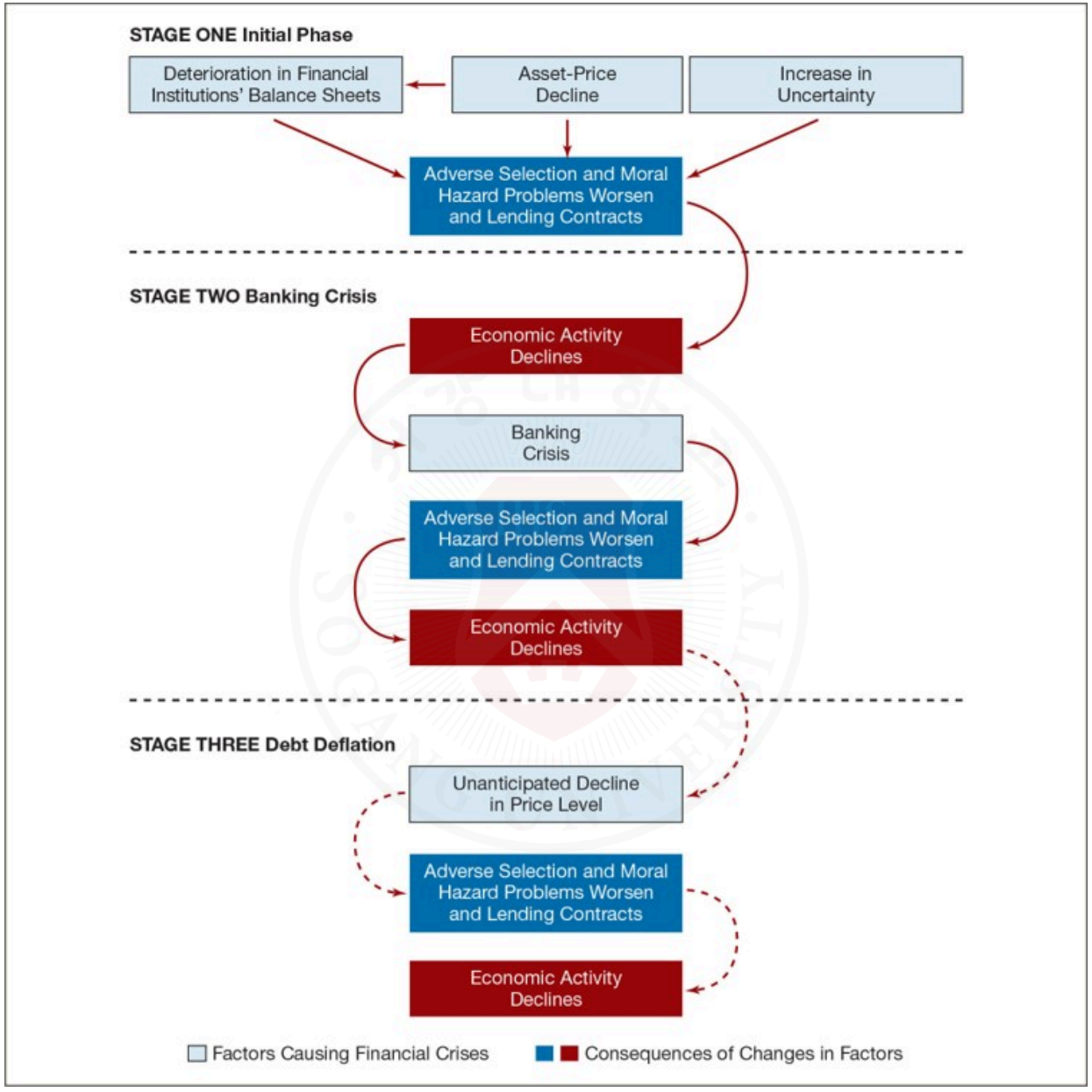
- Fixed exchange rate regimes face speculative attacks
- Deteriorating bank BS prevents interest rate hikes → loss of confidence
- Governments abandon pegs under pressure
- **Fiscal Imbalances**: Investors sell domestic currency fearing sovereign default
- **Speculation**: When reserves are limited and the peg is inconsistent with fundamentals, speculative attacks become more likely

Dynamics of Financial Crisis in Emerging Market Economies (continued)

Stage Three: Full-Fledged Financial Crisis

- EMEs often have debt in foreign currencies (currency mismatch)
- Depreciation increases debt burden, reduces firm net worth
- Inflation rises from import prices
- High interest rates → worsened info frictions and investment collapse
- Banks face:
  - Declining asset values
  - Increasing liabilities (foreign debt)
- Defaults surge, liquidity worsens

> Foreign-currency debt and external refinancing needs remain a central source of vulnerability in EMDEs.


STAGE ONE Initial Phase
Deterioration in Financial Institutions' Balance Sheets
Asset-Price Decline
Increase in Uncertainty
Adverse Selection and Moral Hazard Problems Worsen and Lending Contracts
STAGE TWO Banking Crisis
Economic Activity Declines
Banking Crisis
Adverse Selection and Moral Hazard Problems Worsen and Lending Contracts
Economic Activity Declines
STAGE THREE Debt Deflation
Unanticipated Decline in Price Level
Adverse Selection and Moral Hazard Problems Worsen and Lending Contracts
Economic Activity Declines
Factors Causing Financial Crises
Consequences of Changes in Factors

Application: South Korea 1997–98

- Prior to crisis: Rapid growth and relatively strong macro indicators, but serious weaknesses in financial-sector supervision and corporate leverage.
- Financial liberalization → lending boom
- Banks borrowed short-term foreign capital → invested in chaebols
- Weak regulation → mounting losses

Role of Chaebols

- Dominant, politically protected conglomerates
- High leverage, low returns
- Accessed capital via merchant banks
- Merchant banks funneled funds into unproductive projects

Application: South Korea 1997–98 (continued)

Stock Decline and Failures

- Major chaebol bankruptcies (e.g., Hanbo) created panic
- Uncertainty surged → stock market fell >50%

Crisis Escalates

- Speculators attacked the won
- Sharp depreciation → foreign currency debt doubled
- Investment froze → output fell >6%
- Interest rates >20%, inflation nearly 10%

Government Response

- Guaranteed deposits, began reforms
- Confidence slowly returned
- Recovery followed

> Korea recovered relatively quickly after reforms, restructuring, and external support

Application: Argentina 2001–02

- Chronic fiscal deficits from provincial overspending
- Recession → declining tax revenues
- Banks were heavily exposed to sovereign debt and fiscal stress

Collapse Triggers

- Public lost confidence in debt repayment
- Corralito imposed: weekly cash withdrawal limits
- Currency board abandoned in Jan 2002

Application: Argentina 2001–02 (continued)

Full-Blown Crisis

- Peso collapsed: \$1 → \$0.30
- High % of debt in USD → massive balance sheet destruction
- Inflation reached 40%
- Output fell >15%, unemployment >20%

Recovery

- Commodity boom helped GDP rebound
- Debt restructuring began (2005)
- Recovery was helped by external conditions and debt restructuring, but fiscal and debt vulnerabilities later re-emerged.

Iceland: An Advanced Economy with EME-Type Vulnerabilities

- 2003: banks privatized, borrowed short-term in foreign currency
- Used funds for risky investments → stock market 250% of GDP
- Lehman collapse shut down funding
- Krona collapsed → debt burden surged → crisis

Preventing Future EM Crises

Strengthen Supervision

- Capital requirements
- Risk management
- Limit connected lending and politically connected ownership structures
- Supervisor independence

Encourage Market Discipline

- More transparency
- Incentivize prudent lending

Limit Currency Mismatch

- Discourage foreign-denominated debt
- Move to flexible FX regimes
- Build local-currency debt markets where possible

Sequence Liberalization

- Liberalize after institutional capacity built

Summary

- Financial crises can be triggered by various factors, including macroeconomic shocks, financial innovations, and regulatory failures.
- The dynamics of financial crises in advanced economies and emerging market economies share similarities but also have key differences.
- The 2007–2009 Global Financial Crisis was driven by subprime mortgage securitization, agency problems, and credit-rating agency failures.
- The European Sovereign Debt Crisis highlighted the vulnerabilities of the Eurozone and the need for coordinated responses.
- Emerging market economies face unique challenges, including currency mismatches and reliance on foreign capital, which can exacerbate crises.
- Historical examples, such as the 1997–98 South Korean crisis and the 2001–02 Argentine crisis, illustrate the dynamics of financial crises in different contexts.
- Preventing future crises requires strengthening supervision, encouraging market discipline, limiting currency mismatches, and sequencing financial liberalization.

2. Class Activity

Next Class

- (May 07)
  - **Chap 14.** Central Banks
  - **Chap 15.** The Money Supply Process

Any QUESTIONS?

Thank You for Your Attention and Participation!